

Let's go back to the first time a price was established for bitcoin, October 5, 2009, when it was priced at 1,309 bitcoin to the dollar, or 7/100 of a cent per bitcoin. A small website called the New Liberty Standard established the rate based on the amount of money it needed for electricity and rent to maintain the computer that mined bitcoin versus the amount of bitcoin that had been reaped from so doing.

If at that time an investor had tracked down one of the few bitcoin miners in the world and offered \$100 for the 130,900 bitcoin implied by that exchange rate, by now that investor would have amassed over \$100 million. A single hundred-dollar bill converted into one million hundred-dollar bills: it would have been one of the best investments of all time.

However, having such impeccable timing is an elusive dream for investors. When I (Jack) began investigating bitcoin in August 2013,¹ bitcoin was trading at \$135; it had already appreciated significantly from the initial exchange rate of 1,309 bitcoin to the dollar. Yet I decided it was not too late and ultimately made the investment.

Similarly, I (Chris) didn't even consider investing in bitcoin when I first heard about it in 2012. By the time I began considering bitcoin for my portfolio in late 2014, the price was in the mid \$300s, having increased 460,000-fold from the initial exchange rate. Like Jack, I also didn't think it was too late and made the jump. While the innovative investor may interpret the current price tag on bitcoin as being too high, consider instead what can be done. We believe it's still early days for cryptoassets.